

that earns 10 percent interest. Here's what your investment would be worth at the end of ten years if you didn't add another penny to it:

- Compounded annually: \$12,968
- Compounded monthly: \$13,535
- Compounded daily: \$13,589

To illustrate the effect of a longer period of time on compounding, consider Bill, who contributed \$2,000 at 6 percent interest to an IRA beginning at the age of twenty-two and continued doing so each year until he was thirty-nine. By the time he was sixty-five, his \$18,000 investment had grown to over \$579,000. His friend Jim made a \$2,000 contribution every year for thirty-five years, for a total of \$70,000, but because he started at the age of thirty-one, his nest egg only totaled \$470,000. Even though he contributed much more than Bill (\$70,000 versus Bill's \$18,000) he ended up with 23 percent less money.